What Actually Happens When a Life Insurer Fails (It's Worse Than a Bank) | Pranjal Drall and Andrew Granato on How Private Equity Turned Life Insurance Into a Taxpayer Backstop

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis: The paper "Private Credit State Backstop: How Private Equity Socializes Risk Through Insurers" argues that the life insurance industry, increasingly dominated by private equity-owned entities investing in opaque assets like private credit and structured products, has created a systemic risk architecture more akin to a financial social safety net than standard banking. Unlike Federal Deposit Insurance for banks, which relies on pre-funded assessments based on actual risk, life insurance guarantee funds rely on premiums paid by rivals based on volume, not risk, funded eventually by taxpayers through tax write-offs. This structure incentivizes private equity managers to maximize profits and take excessive risks (privatized gains) while shifting the cost of potential insolvency onto the public sector (socialized losses), effectively creating a state-backed backstop for private credit assets held within insurance companies.

2. Key Arguments & Data:

3. **Growth of Private Equity Ownership:** PE ownership of life insurers grew from $23 billion in 2009 to approximately $700 billion by the end of 2024, representing 8% to 14% of total life insurance assets.
4. **Bank vs. Insurance Bailout Structure:** If a bank fails, FDIC pays depositors first ($250k cap) funded by industry assessments. If an insurer fails, state regulators coordinate multi-state insolvency proceedings. While policyholders get bailed out by rival insurers up to statutory caps (often $250k-$300k), the cost is shifted to taxpayers via tax credits over 5-20 years. There is no government protection for life policies exceeding these caps.
5. **Ratings Inflation & Opacity:** Rating agencies are paid by insurers to conduct valuations, incentivizing inflated risk ratings. Egan Jones vouched for $40 billion of insurance debt (Principal Financial Group: 20%, TIAA: 18%). Bermuda regulators recently stopped accepting Egan Jones ratings due to opacity and industry bias.
6. **Shadow Reinsurance:** PE-owned insurers use captive subsidiary reinsurers in jurisdictions like Bermuda to move assets off the parent

company's balance sheet, evading US disclosure requirements and capital regulations. This can increase leverage ratios significantly (estimated 30:1 to 50:1).

7. **Funding Agreement-Backed Notes (FABNs):** Some insurers utilize institutional investors to fund their operations through demandable debt instruments with withdrawal rights, creating a mechanism similar to bank runs but within the insurance sector. These structures allow creditors to demand payouts on short notice during downturns.
8. **Affiliated Transaction Risks:** Regulators fail to catch related-party investments by PE managers. The Mark Walter case (Delaware Life/Clear Springs) showed 3% of assets were reported as affiliated, corrected later to ~42%. These funds involved loans backed by policyholder premiums to the Lakers and Dodgers (including a $300M loan to LeBron James).

9. **The "Permanent Capital" Illusion:** While insurers collect premiums indefinitely ("permanent capital"), PE firms treat them as short-term assets for investment, allowing them to fund risky private credit deals that would otherwise be too levered for traditional funds.

10. Actionable Takeaways:

11. **For Investors/Policymakers:** Regulators should move beyond simple risk-based capital rules and implement mechanisms to tax "opacity" of assets (private credit) rather than just trusting third-party ratings, which are often inflated by the insurers themselves.
12. **For Policyholders:** Be aware that insurance guarantees are limited (typically $250k-$300k). Policies with higher death benefits or large cash values are not guaranteed by guarantee funds and could result in zero payouts upon insurer insolvency if those specific assets go to zero value.
13. **For Regulators:** Proposals suggest shifting to a pre-funded system similar to federal deposit insurance, where holding companies must contribute directly to risk backstops rather than just the insurers themselves. Furthermore, all ratings should be made public and verifiable (ending private letter ratings) to prevent systemic mispricing of risk.

14. **For Corporate Governance:** Holding companies like PE managers should be held liable for insurance company insolvent assessments (aligning incentives so they cannot bet the firm's downside while others cover their gains).
15. **Macro Monitoring:** Watch for increases in opaque asset classes and leverage ratios within insurance sectors, particularly regarding reinsurance structures and demandable liabilities (FABNs).

Full Transcript

An exceptionally important conversation joined today by Andrew Granato, assistant professor of law at the University of Texas at Austin and Pranjal Draal, JDPHD candidate at Yale. They are the co-authors of a paper called Private Credit State Backstop How Private Equity Socializes Risk Through Insurers. Gentlemen, welcome to Monetary Matters. Thank you for having us. Tell us about this paper. You write in the beginning that... What we have now is a system that socializes losses more sharply than banking federal deposit insurance. In other words, the life insurance industry is increasingly getting to a state where if private equity and private credit are owning these companies, these life insurance companies and profiting from them, obviously, and if things go bad, The bailout system is one where the losses will be socialized, privatized gains and potentially socialized losses. Pranjal, tell us about that. So the basic picture of the paper is that there's been a lot of concern about private credit, both valuations and how the asset class is doing as a whole. Underlying that worry is that valuations don't keep up with reality. So since these assets aren't publicly traded, it's hard to ascertain how impaired some of the loans are given certain kinds of shocks. Given that worry, simultaneously there's been a big trend in insurance where insurance companies are increasingly owned by private equity companies and they increasingly invest in private credit. So one way of thinking about the paper is that in a normal sort of finance 101 land, if a loan or an asset goes bad, the investors bear the losses.

So if like a sophisticated investor is making a bunch of private credit loans and they end up going to zero, you know, the investor loses a lot of money, but no one, the public writ large doesn't bear the cost. Our paper sort of points to a setting where that is not the case. So life insurance is, you know, sort of this very conservative business historically. You collect a bunch of premiums from policyholders invested in traditionally investment grade assets. and then earn a spread and you pay out the policy holders over time. Increasively, since these insurers are investing in private credit, the public is exposed to the risk of private credit through insurance. And the most shocking and notable part of the story is that when an insurance company goes under, the policy holders are bailed out by its rivals. So if there's two

insurance companies in Iowa, Insurance company A goes under. Insurance company B has to pay the money for the policyholders up to a statutory cap. And whatever they pay to bail out the policyholders, they get tax-wetted for. So it can be written off, depending on the stage, five to 20 years. So the basic idea is ultimately taxpayers are on the hook for insurance insolvency, which might be driven by...

excess exposure to private credit. And just set the stage, the private equity ownership of life insurance by assets was about 23 billion in 2009. By the end of 2024, that was about 700 billion. So it's done like a 35 x 30 30 to 35 x that growth of private equity ownership of life insurance and that as of 2024, private equity owned life insurers had between eight to 14% of life insurance assets. So decent, decent chance that, you know, people watching this now that definitely some percentage of their life insurance assets are owned by private equity companies. And, uh, Andrew, why would, why would private equity companies want to own life insurance companies? Yeah. So the theory that various companies have espoused is something that they call permanent capital. If you want to conduct private equity's traditional business, which are these buyout funds, purchases of companies that you are then trying to flip and resell at higher valuations involves a lot of leverage.

You have to take out a lot of money and loans to conduct these purchases. And so you can look to external financing for these, but increasingly what these PE firms have preferred to do is try to finance them internally. So we'll have a different part of the firm issue alone to the companies that are being bought out. There are multiple ways that you can try to do this. What a lot of private equity firms have done is they have set up private credit funds. So they're the GP in the PE funds and then they're the general partner in the private credit funds as well. They get backing from institutional investors in both settings to do the sort of work. But what you could also do is you could buy a life insurance company.

And life insurance has various features that make it theoretically attractive for these purposes. What policyholders do is they pay a lot of money upfront and they expect to receive payouts on the back end. So, you know, if you buy like a term life or cash value life policy, you as a policyholder

might be paying premiums in for years. And some fraction of those policies will pay out to the beneficiaries, but they won't pay out until this long tail because of the simple actuarial math of people die later. So the insurer has all of this money upfront that they eventually will need to gradually pay out in the cycle while they're still receiving more payments later. But unlike a fund, they do not have this fixed end date in which all of this capital has to be returned to these institutional investors. Owning a life insurer creates a lot of flexibility and it has all of these nice theoretical synergies when you're trying to invest the balance sheet of that life insurer in highly illiquid and opaque assets like private credit or ABS or other kinds of structured products. And so you end up with this kind of like tripartite business model where you have the buyout funds that are accepting loans for often from the private credit funds. And then the private credit funds loans can be sold to the in-house life insurer. And so the private credit is ultimately not held on the balance sheet of one of these fixed duration funds is held on the balance sheet of a life insurer, which is backed not by the institutional investors, but by this mass dispersed retail base of policyholders. Yeah, one more way to think about the synergy is that historically insurance companies were owned by people like Warren Buffett or Alliance, big asset managers that there's a natural synergy where an insurance company has to make a lot of investments.

making investments is a hard business. And it is natural to think that some of the best investing companies on the planet, namely, you know, big private equity alternative asset managers have the expertise of the economies of scale and the skill to do so. So it makes sense for them to use that expertise to invest insurance company assets as well. And, you know, if they're able to earn a better return, then sort of like traditional mom and pop insurer. or like MetLife, then they'd be able to offer better products, lower prices for consumers and policy holders. So you can imagine this like a sort of, let's say a positive story where there's, it makes a lot of sense for the best asset manager, investor manager in the world to like own and ensure, because they have so much expertise to invest money in. And you know, private assets are like a big, big asset class now. So it also makes sense that insurance company assets.

go to some of these private assets, as opposed to just investment, great credit. Cause maybe there's not enough investment, great credit to go around for the balance sheet of all kinds of entities. So, you know, there's like a conceptual story you can tell, which is, is makes a lot of sense from like a market sort of 2026 landscape, which don't involve anything like nefarious. So you can tell both stories. Yeah. So that is the good side. And it is real that. Blackstone and Apollo have very good investors, they have good deal flow, and they have the scale to make these loans where they're at attractive prices that theoretically could be passed on to the life insurance clients. We're not saying that that's fake, but let's explore the bad side. I guess there's two things. One is what happens if something goes wrong, if the life insurance company literally goes bankrupt. And I'll spoil the answer for our audience here is that it's impossible for them to go bankrupt. So we'll get into that. And the second is the incentive, the sort of the slippery slope of if a private equity company, an alternative asset management company owns this, life insurance companies, they can do various things that increase their profits. And they are not incentivized to not do those things. It's kind of a race to the bottom because of the way that these the wind down policy goes. Tell us what happens if a insurance company goes bust. Yeah. So as Pranjal was alluding to earlier, there is a unique system for managing the insolvency of a life insurer. And I think the best way to explain it is by analogy to a system that people might be more familiar with, which is banks. Like banks, insurers cannot enter the bankruptcy process.

What happens in a bank insolvency is that, you know, if the FDIC thinks like, okay, like the ship is going down, there is an issue, which is that there's a special class of creditor to a bank that we often don't even think of as being a creditor at all. And that is a bank depositor. If you have a checking account, savings account, whatever at a bank, what you show up as on a bank's balance sheet is a liability because you have loaned money to this bank. And so in a bankruptcy, if there was no special regime, you would have to fight it out with all the other creditors to try to get your money back. And that's not desirable for a whole host of financial stability reasons. So instead, the FDIC has this special resolution regime where the FDIC if they see that the bank's going under, they'll take over the bank and then they have special insurance on the first 250,000 and a Silicon Valley bank showed potentially a lot more in some circumstances where you will

receive a guarantee that that money is safe if you are a bank depositor. Now, this system is funded in the first instance by so-called assessments that insured banks pay to the FDIC every quarter in order to participate in this insurance system. So if they have to make these payouts to keep bank depositors whole, every bank has to pay a risk weighted sum every quarter to the FDIC and then they maintain that fund and that fund is paid out. So it's initially an industry funded regime.

And then in the event that that fund is ultimately not adequate to fix the situation, there is ultimately the full faith and credit of the United States, which is this broad public backstop that the government is going to stand behind the FDIC and make sure that all depositors get their money up to the statutory caps. When an insurer heads into insolvency, There is a somewhat similar system, but with potentially more bizarre incentives. So when the insurer goes and solve it, all insurers are regulated at the state level rather than at the federal level. And so if you have an insurer that operates in multiple states, then they will simultaneously enter an insolvency proceeding in each of those individual states.

the state insurance regulators for all of those states, they'll coordinate and they will simultaneously try to administer that insolvent insurer. And if you're a policy holder at one of those insurers, there's also this concern that there's no special regime. You're also in a sense a creditor to that insurer and you'd have to fight it out to get your money back. And we don't want to put people in that position. especially if they've been paying premiums diligently to this insurer for many years. And they were counting on this payout to their families. Yeah, especially if they, you know, it's probably some guy about the policy and he died and it's his wife or his kids getting, you know, well, you don't want to unnecessarily burden them in an extra way. Yeah, this is like financial security for a lot of these families. And so what each state does is it also sets a cap.

often about 250,000 or 300,000 and says you're going to have insurance on your insurance. Where if the company that sold you this policy goes under and they don't have the assets to make the payout as necessary, this insurance guarantee fund is the name. The guarantee fund will step in and make that payout to your beneficiary. The way that they fund that payout, is

that they bill every surviving insurer in the state in proportion to their premium volume in that state. So if you sell 1% of the premiums in Ohio, of life insurance premiums in Ohio in that year or recently, and then an insurer goes under in Ohio, then you're gonna get 1% of the bill to bail out these policyholders.

So initially, the burden falls on all these other insurers who had nothing to do with the situation. But then, as Pranjal said, in 44 states, there are tax credits that insurers can take to alleviate the economic burden of these assessments. In 34 states, they can take that tax credit over five years. And then in another 10, they can take it over longer periods of time. But what these tax credits do is that they essentially change the reality of who is bearing the cost of bailing out these policyholders. And they shifted from the insurer who has to front this money to the taxpayers who ultimately pay for it in the form of reduced tax revenue over the course of the next several years. And so this is in effect a taxpayer bailout, but it's not one that ever needs to get voted on. It just happens automatically.

the assessment for the money to pay annuitants or clients, customers, that is up to 250,000 or is it in excess of 250,000 or is it just if it's over 250,000 you're kind of screwed. There's no insurance for that. It's up to 250,000. Let's say I have a term life policy that is, the death benefit is 200,000, then I'm totally covered. But if I have a death benefit that is 500,000, then only part of it is going to be guaranteed. So for a large swath of people, they have total insurance under this system. But for people who have relatively large policies, they may not be covered. And if you have extremely large policies, you know, maybe like a 5 million life insurance policy, 10 million, et cetera, then, you know, this system is not going to do very much for you if you if that's entirely concentrated in a single policy at a single insurer. So there's no government protection for policies over 250,000 or over 300,000? It's the first 250,000. That's that's going to be covered. Yeah. But above that, nothing. You can imagine the insurance companies that has a bunch of assets.

uh, even if that are like illiquid and hard to unwind and you know, kind of like a normal bankruptcy, they might be able to recover a bunch more assets that then can be distributed to Arata. Uh, so you can imagine recovery is

being high, but there's no guarantee that you get more than the three or a case that story minimal gap. Okay. So, so, Pranjal, Andrew kind of gave us, uh, the, the raw facts, but explain precisely. why the following sentence that you write in your paper is true based on what Andrew said, that compared to federal deposit insurance for banks, the guarantee funds for insurance socializes risk more sharply and lack comparable risk regulation infrastructure. Explain just why that's true. So in that story, the sort of the first thing that should be bizarre is that the insurance company that actually goes in solvent hasn't paid a dime. So in banking, The banks are paying into a fund quarterly and these assessments are being made quarterly based on the riskiness of their portfolio. In insurance, the regulator waits for someone to go under and makes the assessments on rival insurers based on premium volume. So again, not on risk. So the first thing to note is that the system is completely sort of not focusing on the riskiness of an insurance company.

So both the one that's going under and their rivals. If you have an insurance company and you literally bought the safest asset possible triple A treasuries, they're not triple A, but, but treasuries. And I, I just deployed 100% into junk. The, the state insurance regulators would treat us the same. So they wouldn't penalize me for taking additional risk and they wouldn't reward you for taking less risk. In, in the case of the insolvency, exactly right. Now again, we should be very careful here. I like banking. the NAIC, the state regulators, try to make sure that an insurance company is holding adequate amounts of safe assets. And so there is risk-based regulation of what the insurance company holds, kind of like banking. But in the paper, we try to argue that this regime has proven ineffective in the face of private credit. But let's put that aside for a second. So the first thing is just that the regime does not penalize risk.

riskiness of insurers adequately. And the second sort of way to think about it is like you're putting all the costs onto rivals and all of it's funded exposed. So in banking, there's this idea that there's a federal regulator on the bank floor making sure I'm not investing in crazy things. In insurance, the regime that polices how risky the investments are. is just simply has less capacity and less policing power. So that leads to insurers having greater ability to invest in riskier things. And over time, essentially create incentives for the insurer to not adequately take precaution, because the

idea is like, okay, I know I might go bankrupt in the future. I can now sort of start doing things that I'm not gonna take adequate precaution by like, okay, I'll start offering even better deals for my policyholders, even better prices so that I can sign up even more people. And so I can keep paying the old people, the old policyholders and keep collecting more and more premiums today just because I know I'm going insolvent in like a decade or something. So the idea is that the incentives for a failing insurer are perverse in that they wanna sign up more customers.

invest in even more risky things so they can pay claims today and avoid insolvency. And the state-based regulatory regime is ineffective, relatively ineffective compared to the banking regime in monitoring such behavior. You argue that as a result of this, conservatively managed insurers functionally are subsidizing aggressive ones. So that is what we laid it out in theory. Now tell us about what's actually happened in practice and the ways that private equity firms, alternative asset management firms have powerful incentives to exploit this and the various ways that they exploit this, Andrew. Yeah. So private equity is leading the way in a transformation of both the asset and the liability side of these insurers. And a lot of traditional insurers are gradually converging over to this new business model as well. So let's start with private equity. What private equity does when they take over one of these life insurers is that they immediately reallocate a substantial portion of the life insurers portfolio away from these traditional corporate bonds that are investment grade, very highly rated.

you can think just like pouring a ton of money into like Apple or something like that and instead what they do is they reallocate that money into making a liquid private credit style loans often to affiliated companies that are held by the PE firms by out funds. They also invest more in structured products like CLOs, you know, a lot of our loan obligations, asset back securities. Yup. Yeah. And so all of these products are much more difficult to value. Now that doesn't mean that they're inherently bad. Something being complicated doesn't make it, you know, inherently a worse financial product. There's plenty of financial engineering that is quite successful, but. All of these assets have to be rated by credit ratings agencies that then make reports to the insurance regulators and who have to attest to the level of risk

that the insurer is taking on. And if it's much more difficult to observe the level of true risk that's being taken on, there's a lot of opportunity.

to arbitrage these rating systems. And that's precisely what's been documented by a lot of economists in studies of ratings of private assets where equivalently rated public and private loans will default at differential rates. The private ones are defaulting a lot more than they should, you know, relative to their risk rating. And the reason why we argue is because of the classic, you know, problem of misaligned incentives that was much discussed in 2008 when there was a lot of issues with the credit ratings agencies at the heart of the banking crisis. These ratings agencies are paid by the insurers. to conduct valuations. And because of this risk rating regime, all of these agencies know and everyone understands that if you say an asset is riskier and you report it to the regulator as being riskier, that will result in a regulatory penalty in what's called the risk-based capital regime. So if the insurer has the opportunity to shop around, for between different ratings agencies, then they, you know, everyone understands kind of what the insurer might want out of this. There's been a particular, I think, scandal around a relatively small ratings agency called Egan Jones, which has become known for putting out a tremendous volume of notably industry-friendly ratings.

But this system of incentives applies to really the entire enterprise. And so this overall shift in the balance sheet that private equity brings moves the insurance industry into deeper and deeper waters that are untested. So the same ratings inflation flywheel that we saw that led up to 2008, Is that play now? Yeah. In some cases, it's literally the same ratings companies. In general, it's just the same incentive issue where we need some way to try to say, how risky is this asset? And if the asset is publicly traded, we have pretty good data then on how this asset is doing. We can track these sorts of assets pretty well. the assets that the insurer are holding are private credit. They're not traded. They're highly illiquid. They have highly bespoke terms. It's much more difficult to say, like, oh, is this risk rating appropriate? And amplifying this problem is something called a private letter rating, which is a rating that is made of these assets that is not disclosed at all to the public. It remains private to the insurance company that commissioned the rating, and the regulator. And so there is all these escalating layers of opacity,

which make it very difficult to tell what sorts of things we should be looking at. And the more opacity there is, the more capacity there is for gamesmanship. So yeah, Egan Jones.

For Wall Street Journal, Egan Jones' rating firms accused of great inflation vouched for 40 billion of insurance debt. And like MassMutual owns, 7% of the assets that MassMutual owns have Egan Jones' rated debt. And that's for TIAA, that's 18%. Principal Financial Group, 20%. I don't mean to cause any worry, but. it's gone to the point where actually Bermuda regulators have said that they were no longer accept Egan Jones ratings which is a frankly incredible statement to make because Bermuda is at the heart of the liability side transformation that these private equity owned insurance companies are doing. So you know on the asset side what these you know Pee is moving all of these assets into private credit, into opaque products, into affiliated loans. And on the asset side, on the liability side, what they're often doing is they're pursuing an aggressive form of re-insurance transactions, often called shadow re-insurance in the industry, where the idea is an insurer can create a subsidiary re-insurance company.

that is just completely owned by the mothership insurer, and they can locate it in a jurisdiction like Bermuda, which does not have transparency requirements. And then you can offload some of your assets and some of your liabilities into that reinsurer, and then effectively arbitrage around the disclosure regime that U.S. insurance regulators have for the mothership insurance companies. empirical evidence has shown that P-linked insurers are much more likely to use this form of reinsurance, which again amplifies the risk that is building up in the system that is not being tracked by the conventional data sources. So the insurance companies are not just owned by private equity and owning the assets that private equity makes and originates, but they're also buying reinsurance from themselves.

Yeah, so they'll set up a subsidiary reinsurer in Bermuda, or actually some US states have tried to get in on this as well, like Iowa and Vermont. And they will shift the assets out of the parent company into the subsidiary reinsurer. And because the assets are formally held on the balance sheet, of this, you know, reinsurance company, rather than the mothership insurer, they can evade all of the disclosure requirements that are associated with

being a mainline insurer. And they also like a plenty of tax cuts for doing so as well. Other than the conflict of interest, what what is wrong about this? And what is the risk of this? If I'm an insurance company and you are a reinsurance company, I buy reinsurance from you.

that reinsurance is an asset on my balance sheet, a liability on your balance sheet. The fact that this is all done internally within one parent company, one structure, net net, what does that mean that the reinsurance company is undercapitalized? What does it mean? Often, yes. So reinsurance in general in the abstract is a totally legitimate transaction. You might say like, oh, well, I want to offload these uncertain payouts that I would have to make these beneficiaries. I want to pay another insurance company to take on that risk. And if that other insurance company was independent, then what you would do is you would negotiate out a deal about how much money you would have to pay them in order to take on this additional risk.

But if you have what's called a captive reinsurer or a subsidiary reinsurer, this is just part of your own company, but it's a different legal entity. So you're moving the money and the risk out of one of your pockets and putting it into another of your pockets. But if you keep it in the main pocket, you're subject to disclosure requirements. And if you put it into this other pocket, you're not subject to these disclosure requirements. This is one of the aspects of this that I find most difficult. egregious and calling, which is that this sort of thing is somehow legal, you're able to, you know, move your assets into these jurisdictions where, you know, among other things, you also have much more lenient capital requirements that allow you to increase the leverage of that company much more. And insurers in the US are already pretty, life insurers are already pretty levered. But in Bermuda Re, you can lever far more. And just how leverage are life insurance companies that PE owned life insurance companies? Well, that's a great thing is that you it's hard to even tell in, in, but you know, in some, some news reports I've read have suggested numbers on the order of magnitude of 50 to one, which is, it's just kind of incredible. It's a very thin capital buffer. That is pranjal.

Yeah, I mean, Andrew and I were working on a separate paper that tries to think about this more carefully. But yeah, the way the leverage plays out is

hard to calculate and think about. Partly because insurance is such a unique business. So yeah, like Andrew, I've seen news reports from anywhere from 30 to 1 to 50 to 1. But it's like translating that into how risky that is is a complicated question. So I'm not going to take a stab at that. We'll leave it for another day. And just what is the risk of a systemic event because I think for property and casualty like you could have a hurricane Katrina or something even worse where Literally like nature and you an act of God has just declared that you suddenly owe three hundred billion dollars or something You know through the insurance system owns something but with life and health life insurance and then annuities They are extremely at scale, like law of large numbers, easy to model, right? Like the odds that every single 81 year old person is going to die on Tuesday is basically zero, you know? What is the risk there? Maybe other than the fact that because it's so easy to model, people have just juiced up the leverage and risk immensely. That's exactly right. So one way to think about it is like there's the lack of the sort of belief and predictability makes you want to invest in riskier and riskier things because you know that like, look, we're going to be fine and we can earn an excess spread. Now, to answer your question more directly, this is a big follow up paper we're working on, but like, we'll just give you the pitch now. So you can imagine there's two ways an insurance company could there be a run on it, or they could be like, sort of this cascading failure situation. So I'll give you the asset side.

you know, one way to think about it is like, private credit has some relationship to AAA bonds and some relationship to junk bonds. So like when there's like a big credit event, if junk bonds have a default probability of 15% or 20%, what is the probability for private credit? Like that number is a little bit unknown and hard to estimate. But the basic idea is that there's definitely some correlation there, obviously. It's just, you know, they're usually, I'm not saying private credit is junk or private credit is AAA, but like there's going to be some empirical correlation of private credit to these assets. So in any sort of major credit event, we're going to see valuations come down and we're going to see defaults, which is totally normal. Now the question is, the share of insurance balance sheets holding private credit is up significantly. It's like 15% as we described in the paper. The sensitivity of an insurance company to a major credit event might have gone up.

in ways that are not reflected in the letter ratings or in the valuations. Because as Andrew was describing earlier, the opacity makes it really hard to tell how risky a particular private credit asset is. Now that might turn out to be safer or as safe as Egan Jones thinks or they turn out to be like much riskier and they have default probabilities much higher than anticipated. So you can imagine like, It's 15% of the balance sheet is private credit. There's some default probability that like, I don't know, three or 4% of those assets become heavily impaired, hard to sell and like essentially like a big zero on the balance sheet, conceptually. Now, is that enough to sort of make a major life insurance company go under? That's another sort of hard empirical question. But that's like one way to think about asset side run risk. And then there's other sort of and other sort of funding commitments that insurance companies make, which could also create separate kinds of run risks. So that is all assets side. And then I'll let Andrew do the liabilities. Yeah, so on the liability side, there's fragility that can come in multiple different ways. So there's what Prangal is talking about with FABNs is this something called a funding agreement back no.

These became notorious because of a particular type of fabbin, I think it was called an ex-fabbin. Also, I mean, you read these terms. So I apologize if I'm saying it incorrectly. That's quite possible I am. But what a lot of these terms of these loan structures have are withdrawal or demand rights. by the creditors. Andy, let me just jump in. I learned of these like a month ago just from actually reading like Apollo's investor presentation. And it's pretty remarkable. I was surprised that basically these funding agreement-backed notes, FABNs, and then funding agreement-backed repos or repurchase agreements, FABRs or something, basically it allowed institutional investors basically net net net are lending money to private equity companies and private equity owned insurance companies. But the private equity, the insurance companies treat it as if they're like a life insurance policy. So it's like, you have a bunch of grandmas and grandpas who have a life insurance policy. And then you have Harvard, who lent, you know, an Apollo, you know, a theme, Apollo's own insurance company, like at 5%. But legally, they get to kind of pretend that it's that Harvard is just a million grandmas lumped together in a room.

Yeah, a lot of this financial engineering is based around, yeah, creating a situation where, you know, the bankruptcy term will be like creating liability that's party pursue with policy holders, which is to say having the kind of same legal nature, the same kind of legal claim. And so if you have these like institutional forms of debt, a lot of these fabbens, particularly during the financial crisis era, had features that allowed creditors to call in that debt on demand. So, you know, if there were to be a fire sale and the way that Prandtl is describing and some of these creditors got worried like, hey, like the ship is sinking here, you know, we want our money. In particular, we want our money out of here before anybody else has the idea of trying to demand their money out of here. Then, you know, we got a you got a race, and everybody tries to withdraw their money all at the same time. And then that is a big run, but it happens to a life insurance company. And the degree to which that's possible depends on what percentage of the insurance funding comes through these types of structures, what percentage of the insurance funding comes through these demandable loans.

you know the the thesis right of permanent capital is that this shouldn't happen is that the funding source for the life insurer is you know to a first approximation perfectly stable or at the very least stable for a term that is longer than like any asset that we like have on our books but it's possible for life insurers to you know take on sources of funding that are one might say less than permanent, potentially much less than permanent. And so the degree to which I'm sure experiences this kind of fragility, you know, depends on to what degree they stray from making their capital like, like permanent, permanent. And, and instead relying on sources of funding that have withdrawal rights. So FABNs have withdrawal rights, like you can with Yeah, so they're all very bespoke products. So it's very hard to make a blanket statement. But every insurance might have several fab ends that could be negotiated individually. Some of them come with x% withdrawal rate, like 30%. Or some of them come with 100%. But it really depends on the contract. Some of these are disclosed publicly. So we're looking at that to try to give an empirical estimate for the ones that are publicly disclosed. But it's just a more conceptual idea that, look, There's kinds of policies that no one can sort of demand their premiums. There's kinds of policies that you can actually very easily demand your premiums. And then there's fabbants, which are like that on steroids in that it's not an individual. It's like

hundreds of billions of dollars in some cases, or at least tens of billions of dollars in some cases that can be demanded in a downturn. The sort of conventional picture of an insurance company is that like...

no one can get their money back in a crunch. And I think that picture might not hold empirically with the new structures that are happening now. Yeah, I mean, it is it is true, like directionally, that like life insurance or funding is quite stable. Like if this wasn't true at all, then the permanent capital idea would just be garbage. But there have been, you know, some instances in the past, the most maybe the most famous might in recent years might be executive life where this life insurer invested a ton of money in junk bonds. You know, and this is back in the Michael Noken days. And, you know, there was a genuine run on the insurer where policy holders were just canceling their contracts en masse. You know, one, they paid attention to what happened.

They often took heavy hits in terms of what are called surrender penalties, like contractual penalties for canceling their contracts, but they were full stop just going like we want out and the insurer collapsed. Now that was in the early 1990s, you know, that was a long, a long time ago. And the, you know, one reason why I'm talking about example from the early 1990s is because that in general life insurers are pretty stable. But if we enter into this new world in which the asset side of the life insurer balance sheet is much riskier than we thought it was, much more liquid than we thought it was, and that also on the liability side leverage is a lot higher than we thought it was because all of these insurers are doing masks, shadow re-insurance transactions in Bermuda, then we have to start asking, well, can we you know, how far do we want to push our lock? Yeah. So one thing, which is, you know, Apollo is the pioneer of this, they did have a video come out saying, does private equity own insurance? And they said, this is quote, fake news. And I guess we can all agree that the following statement, private equity owns insurance companies is technically an incorrect or imprecise language. The Private equity management company and the insurance company are both owned by parent entities by one parent entity and then the private equity private credit alternative asset asset management business Those loans a lot of them go into the private into the insurance company's book. So that is what's literally happened. So I just want to you

know give a yeah, yeah. Creators at Apollo who, you know, made it made it, you know, they're in the game. We're all doing content creation. We're all in the game. But yeah, a theme, a theme, which is the insurance company owned by Apollo. So it was actually not Apollo's investor presentation, but a themes fixed investor presentation that they showed just what their decade of dominance across organic inflow channels, how they have retail annuities, flow, reinsurance, pension group annuities, and then funding agreements, which include funding agreement back notes, FABNs. And they say they have number one market share over the last 12 months in the FABN market share. So in 2025, they did 35 billion worth of funding agreements, which is quite similar to borrowing money, I believe. I believe that's an accurate statement. Yes. Yeah. These are liabilities to the insurer. Yeah.

So they're raising money through these vehicles, in which money is being extended to them through institutional investors, through this highly complex structure. But at the end of the day, this is a creditor relationship. Yes. And I think actually, Paul Lowe's, Athene's also a borrower through the federal home loan bank system, which is a large lender to the banking system. It's for home loans to support that mission. So people could say, oh, Apollo is perverting that mission. I actually will say that Apollo is a giant mortgage lender. Athena, they own a lot of those loans. And I actually think that there are things that are further from the FHLB mission that are done in banks like Silicon Valley Bank was a giant borrower from the FHLB system. And I interviewed some of these people and they were like, well, like Silicon Valley Bank, they did so much for community development and low income housing.

And they did like 1 billion in low income housing, which obviously is a lot of money, but relative to the vast sums that they were borrowing or relative to the VAT, like they had more loans out to wineries in California than they had. So I actually think that there's a lot of nonsense for the FHLB lending that's like not a policy. So I think it actually is a reasonable claim of like, hey, like Athena is a massive owner of mortgage loans. So I actually think it's not a crazy thing. Yeah. And I think going back to your conceptual point about. Does he actually own insurance companies? I think it's exactly right to say that the holding company owns both the asset management business

and the insurance company and that's our alliance did it with PIMCO and All of that I think conceptually makes sense. I think the question that we have in mind is that Whose incentives are sharper? So the idea is When a P there's a holding company and there's two lines of business insurance and P slash private credit The P and private credit clients are institutions like Yale pension funds sovereign wealth funds and really sophisticated high net worth individuals and They want they are better monitors of performance and of things like fees and and through side letters like better like contractual provisions and contractual rights so Meanwhile the insurance companies for creditors or like clients are like policyholders who don't really know whose policy they hold. They don't know what the insurance company invests in. So yes, there's like in a like a corporate law sense, they're separate entities, but the incentives are much sharper on the PE side and the private credit side. And that's what makes the, that's what like animates the paper with the idea is like the, Be side of the business is able to extract value today in ways that regulators don't see or evaluate properly While some of the losses are being transferred to the insurer in expectation again like if everyone gets paid out 50 years from now Yes, there's no losers but the point is if there's things happening today that are transferring value from a future bad state of the world to present state of the world where the PE equity holders, the PE part of the business is equity holders are benefiting today. That is a direct transfer from the insurance side of the business to the PE side of the business. And that doesn't require some complete ownership. I think that you don't need to own the insurer to do any of the things we describe in the paper. To add on to that, the stat that PE owns this 700 billion of insurers, They also exercise control over some estimates, say, maybe another 300 billion or so of insurance assets, not because the holding company of the PE firm owns the insurer, but they have contractual arrangements with a lot of insurers where they can control a lot of the asset management strategies and do things like give the insurer right of first refusal.

on new private credit loans that are originated by one of the funds that this holding company also has and then is looking to sell off. So there is a wide spectrum of different arrangements that these firms can have with these insurers. And what's relevant to our purposes is that is the degree to which they can control what the insurer is doing. Because if they can direct the

asset management decisions of the insurer, then as Prandtl notes, they have the ability to stand on both sides of the transaction and ask themselves, who should we get the better end of the steel to? A fund in which we have institutional investors who we want to keep happy.

who monitor us regularly and who will potentially come back to be limited partners and future funds that we have, or this insurer whose creditors are these policyholders who don't even notice what we're doing. And I think that that incentive, that's not to say that policyholders will always be exploited by this. But this this is just something that exists in the background of every such transaction. So there's two types of ways, at least two types of ways, where alternative asset managers have have relationships with insurance companies. One is they literally own them. So Apollo owns a theme. KKR owns insurance companies. And then there is they just have agreements. So Blackstone has agreements with insurance companies. Blue Owl has an agreement with Kuvare, which is an insurance company. So they own Kuvare's asset management company, but they don't own the insurance company. So even if they don't own the insurance company, they have, they have relationships. Yeah. So they have the ability to influence what the insurer is doing by, you know, running the asset management side of the business. So what do you think is wrong about the current legal system, whether it's formal rules or informal rules and practices, both in terms of what's allowed, what's permissible, but also what is transparent versus hidden. So we talked about what you think is wrong, but what reforms would you like to see in this going forward? Because that's kind of like the last part of the paper. I can talk about the sort of, let's call it X anti-reforms where the insurance company is alive and what should the regulator do to make sure things are better. The number one thing that we focus on, and I think the one takeaway we have for the audience is that holding private credit assets in and of itself is totally fine. It's a big asset class. There's only so many investment-grade loans to go around. If an insurance company wants to invest in private assets, conceptually, there's no problem with that. The problem comes from the inherent difficulty in valuing private loans.

the incentives that exist for private letter agents, private ratings and rating agencies who are being paid by the insurance company and they have an

incentive to sort of great inflate, so to speak. Now, the regulator faced with this problem, so there's two problems. One is the inherent difficulty in valuing illiquid opaque assets. Number two is the incentive that the rating agencies have in this relationship. What they should do in face of that is is what we sort of focus on. So number one is the first sort of simplest thing they can do is to tax opacity itself. So the idea is we, you see a private credit loan and you know inherently that it's hard to value. So you at the margin penalize owning such assets just because it's hard for the regulator to check the rating. It's hard for the regulator to verify.

how risky this particular loan is. So just you tax the opacity itself without thinking about the riskiness in order to deter an insurance company from owning things that are hard to verify for the regulator. So that doesn't happen already? No. So right now, all the regulator right now does is each asset gets a rating like a notch, like a grade one to 10. And the regulator basically says you should hold 10% of your assets. in things that are rated 10 out of 10 safe. You're allowed to hold 10% of your assets in assets that are rated 5 out of 10 safe. So that's all the regulators doing. But once you obtain a rating saying this asset is 10 out of 10 safe, the regulator has no ability to tell you that you cannot hold the asset. Even if it's a private credit loan or it's like a triple A loan to AT&T. If once you get that rating saying it's like a 10 out of 10 safe asset from the regular point of view they're both equal and in the paper we propose like until we figure out how ratings are being inflated or how to do better valuations if there's two assets and they both get the same risk rating but one of them happens to be more opaque or illiquid you should tax that you should discourage investing in that in that asset and so that's like one sort of meta idea without like having to like fix the valuation regime, which you know, it's the second thing is to sort of disallow private letter ratings and have every time an insurance company gets a rating, it should be public. And it should be easy to verify for academics or researchers or journalists who can look at, look, Egan Jones gave this loan a triple B three years ago. Here's how it's fairing today. Now, again, it's still private and marks are hard to come by.

But the idea is if the loan was to go to truly go to zero, we'd be able to observe that and police sort of create inflation that way. So that's like sort of the things the regulator can do today that are before insolvency, before

anything goes wrong. And I'll let Andrew get to the things that we can do better once there's insolvency. Yeah, so one thing we're interested in doing is, you know, in our dream world, getting rid of the currently existing insurance guarantee fund system and replacing it with a insolvency regulation system that is much more like federal deposit insurance, where insurers pre-fund the guarantee fund and also the amounts that the insurers have to pay are not based solely on the premium volumes like the amount of business they're doing.

but also take into account the level of risk that the insurer is contributing to the system. Now, that requires us to succeed on step one, which is fixing these valuation issues. Because if we don't fix the valuation issues, then the risk weights are not going to mean anything. And risk weights are never going to be perfect. They're certainly not perfect in banking. They've never been perfect in any setting what they've been tried. But they are at least a directional attempt to try to say, if insurer A is contributing more risk to the system by investing in Bitcoin, then insurer B, who is investing in AT&T bonds, we should find a way to incorporate that into what these insurers owe to the backstop system.

bucket that we want to talk about is trying to align the incentives of the controllers of these insurers with the incentives of the overall system. So the basic principle of corporate law is limited liability, where if something goes down, you can only be liable for what you put in. This principle is of course very important But it means that if you have a public backstop for a system, this incentivizes you to act in ways that are consistent with what economists call moral hazard. You take on too many risks because you get to keep the upside if the risks go well, but somebody else has to pay for it if the risks go poorly. So we propose that insurance holding companies, which would include in the case of private equity, you know, the broader asset management platform that owns the insurer, they should be liable for part of the guarantee funds assessments that are, you know, like required of all the insurers in the system on the principle that, you know, if everybody else has to pay for this, and ultimately under the current system, taxpayers have to pay for this.

you too should be on the hook for part of these losses. And so this will also incentivize these companies to act pre-insolvency in ways that are consistent with the fact that they are going to bear some of the cost post-insolvency. So right now, the holding companies of these insurance companies that also own the alternative asset management firms, Apollo, KKR, you're saying that if the insurance entity you know dissolved and went went essentially bankrupt, even though they don't go bankrupt that KKR Apollo or the parent company would have no obligation to make things whole. Is that what you're saying? They they have zero obligation to make things whole. And you can see that in the teen investor presentation. So it's like, yeah, that's just basic corporate law in that they're separate entities. Yeah. Interesting. Was that also true about bank holding companies like the Lehman holding company that owned the Lehman Bank? Was that also true or no? Yeah. So banking is an interesting case. So the short answer to this question is they also don't have an obligation. But in banking specifically, there has long been this doctrine that is more theoretical than real called the source of strength doctrine, where the idea is that if a bank is going down that the rest of a bank holding company should act as a source of strength for this struggling bank and contribute money, contribute capital injections to stabilize the bank. Technically, this idea was codified into law in Dodd-Frank, but what Dodd-Frank did is it essentially charged regulators with coming up with a way of making this systematic. And to this day, more or less, it's not used. So none of the recent bank failures, none of the bank failures of recent years that have had bank holding companies, no regulator has gone knocking on their door to be like, all right, guys, time to cough up. So in a sense, our proposal is a modified version of this same principle.

which is under the normal setting, your company does not get a public backstop, but you get limited liability. Now, in this specialized setting like an insurance, you get a public backstop that's a deep privilege, and with that privilege should come some responsibility. Right now, we've been trying to enforce that responsibility through this financial regulatory regime that is being systematically gained. Another way of trying to enforce it more directly would be to say, OK, you do not get the full privilege of limited liability. So what you're saying, basically, and this is an oversimplification, but what you're saying is that the finance people gained banking regulation before 2008. And after 2008, great financial crisis, we had tons of

regulations. That's very, very difficult to do. But now, There's loopholes in insurance regulation that are allowing potentially shady things to occur that you want to remedy. Yeah. I think some of the parallels with 2008 are a bit eerie. I don't want to overstate the parallels. The funding system of banks is much more subject to runs structurally on average than life insurers do.

But there are all sorts of things like for example, you know, banking used to be famously this very boring business model. And all of this risk was injected into the banking system by, you know, sophisticated, you know, asset managers who. you know said like well we can arbitrage around bank capital rules you know we can rash it up the level of risk in the system without that risk being fully accounted for you know this will increase our profits and expectation at the cost that there's this downside risk that you know we won't fully bear and then lo and behold that risk was not fully borne and everybody else paid for it that was an incredibly dramatic way that happened in 2008 because there was a gargantuan run on repo that caused the entire banking system to almost collapse in the course of a couple weeks and kicked off a gargantuan recession. And I'm not making the claim that that sort of thing is kind of imminently on the horizon. But it is the case that we are ratcheting up the risk in the life insurance system greatly. And A lot of the similar tools that socialize risk are present in modified forms in the insurance industry as well. You're not predicting a wildfire. You're just pointing to some dry kindling. I hope that in 20 years, I am not on a documentary as a talking head saying, oh, well, we saw the signs.

Um, and, and then, you know, we had time to act to try to reduce some of the risk that was building up in the system. And we just, you know, didn't take advantage of it. And then some sort of large macro event occurred and there was a downturn. And then it turned out that some of these insurers were just too highly levered and they'd taken on too many risks and then they blew up and then taxpayers ended up footing the bill. But I think. that if we continue on the same path that we're going, the probability of that scenario is going to increase when it increases every year because every year we hit new highs in the levels of assets that are being managed by these fee-linked holding companies, new highs in the percentage of insurer

assets that are going into these highly opaque asset classes, and new highs in the amount of shadow re-insuring.

And the amount of life insurance and annuity policies that are going to be issued in the future years is almost guaranteed to continue to grow just looking at the demographic pyramid of how old people are getting and stuff. Totally. And the insurance companies are on the record saying, we're going to increase exposure to private credit and ABS. And so it's both, both the aging demographics and increasing dominance of private credit. Andrew, a key question we referenced it so far. And I talked about it with a previous guest, Nick Nemeth, who's very alarmed about private credit and its connection with life insurance, is the surrenderability of life insurance assets. So everyone knows if you have a bank deposit, you can pull it basically at any time, unless it's a CD, and that creates enormous risks because if If people reason, Newton's article about this bank collapsing, everyone is going to pull their money at the same time. But life insurance policy, oh, it's permanent capital, blah, blah, blah. But I actually didn't know until speaking to Nick like a month ago that you actually can pull your life insurance policy. And often it is subject to a surrender penalty, but it is allowed. So just speak to us about that risk. You referenced it earlier. Yeah. So life insurance policies are contracts. And in those contracts, you can specify the cost of surrendering.

And a lot of these contracts have significant surrender penalties. But those surrender penalties often vary. They vary by how long the policy has been in existence. They vary by which insurer is issuing the policy. We have frankly a lack of good policy level data to try to analyze how these truly look on a macro level. But part of the next project that Pramzal and I are pursuing is about the degree to which policyholders can, if they really want to, cut off and ensure. Right now, as per the permanent capital idea, it's very rare for there to be systematic rises in surrenders and responses to stimuli, but we're not convinced that that's always going to be true.

Okay, that's interesting. Andrew, tell us about the amount of shenanigans, let's call them, that you think are potentially being played by people who are not the most conspicuous biggest firms. We're all talking about Apollo because it basically created the idea and was the pioneer in it, and it's a

publicly traded company. But Apollo has said that number one, they use Bermuda, but they don't use Cayman. Some things are going wrong in Cayman that Bermuda is good, Cayman not so much. They also said that they don't use Egan Jones, that rating insurance. So it seems like whatever, because we talked about Apollo because it's the biggest one, but that there are companies that I've never heard of and almost all of our viewers have never heard of that are probably doing things that are potentially shadier if that's the correct term.

Yeah, I mean, until a couple of weeks ago, I had never heard of Delaware Life or Clear Springs. And then we learned that they had been reporting their affiliated assets by an order of magnitude for years. And right now, they're the current subject of a massive wave of corporate transactions, where their ultimate owner, Mark Walter, is doing things like trying to sell the Lakers. in order to stabilize these insurers and get them back into compliance. So I think that this problem of a lack of scrutiny is systemic. And one reason to think that the largest scale players might be not the most aggressive ones is that they do have a lot of eyes on them. There's a lot of eyes on a theme.

I don't believe there were a lot of eyes on Clear Spring or Delaware Life. And it's very difficult to observe all of these things on a macro level, and that might get worse with some of these smaller insurers. So that is a recent news story on Bloomberg. Tell us about Delaware Life. Tell us about Clear Spring. Tell us about the Lakers. Tell us about Guggenheim. What is the connection there? Either of you, whoever wants to take it. Sure. I can try to give the... big picture over you. There's been a lot going on. But the basic idea is Mark Walker runs or co-founded or oversees Guggenheim and a big, very large private equity company. He also owns two or has controlling stakes in two life insurers, Clear Spring and Delaware Life. He also owns the Dodgers and until recently the Lakers. And the basic idea is that he used insurance company assets, premiums collected from policyholders, to start making loans to entities that were related to the Dodgers. And in one specific loan to LeBron James directly, that was backed against its future earnings. 300 million. Yes. So when LeBron signed his max deal with the Lakers, you know, that money comes over, I think it was like a five year deal. Instead of earning that money over five years, He got an insurance

company, a loan from an insurance company controlled by Mark Walter, so he has to get that money today and do invest it. The loan was backed against LeBron's future earnings. I think in particular, non-NBA earnings, but like off the field earnings, regardless. A loan to LeBron while owning the Lakers is obviously an affiliated transaction in that Mark Walter owns the Lakers, owns the insurance company, and he's making loans to LeBron, who is very closely tied to the Lakers. He's on the roster. So it's the same thing with the Dodger entity loans. Some of these entities were called Dodger Stickets LLC. And the idea is, all of these are obviously affiliated. But when reporting to the regulator whether or not these transactions were affiliated, I think they failed to do so. And the number was 3%. They reported 3% of that.

insurance assets are affiliated with Mark Walter. That number after the correction turned out to be I think 42%, which is a crazy high number that is close to half of the entire insurance company's assets being invested in things that are closely tied to the owner. So once that was disclosed almost like a month ago, I think six weeks ago, Mark Walter has been unwinding some of these transactions directly paying the insurance company and taking the loan off the balance sheet. And to do so, you need liquidity. And one of the ways he's sort of become more liquid is by simply selling the Lakers, which he bought almost a year ago, to Jared Kushner and Bob Iger. And since it's the Lakers, it's very easy to sell. And he sold a 2.5 billion profit. So Andrew and I wrote a piece for Bloomberg where we tried to explain, This in some ways is like a rosy scenario in that the Lakers are a very good asset to sell, even if it's in liquid. In that, you know, even as a fire sale, you could imagine people lining up to buy the Los Angeles acres. But if it was instead of the affiliated entity being things like the Lakers of Dodgers and they were like loans to a middle market software company, those would be hard to sell or hard to get out of in a crunch.

you can imagine scenario going poorly depending on what the loans were invested in. Yeah, Mark Walter appears to be stabilizing the insurers by selling off his own personal assets and then using that money to repay the insurers. You know, if the insurers instead were trying to sell off these assets that are now under a cloud of suspicion to third parties, third parties might insist on steep discounts. you know, because of all of these concerns. And

so that would be a situation in which you could end up in a fire sale is a, you know, P backed life insurer trying to get out of a dire situation. But being hit, but that situation also impairing their ability to sell highly illiquid and assets where the valuation is contestable. You have a loan in the Guggenheim universe.

that plunged to as low as 73 cents on the dollar, not something you want to see. But you think it could be stabilizing. Well, what does it say about the entire universe we've been talking about, private equity, private credit insurance, this whole issue, this whole, you know, Bruhaha with Guggenheim and the Lakers? The first, my big takeaway was just that the fact that the affiliate transaction share can be off by, you know, The 30% is kind of insane. The regulator is supposed to be checking these transactions to make sure they aren't affiliated. Now, the onus is on the insurance company disclose. This one is an affiliate one. I'm disclosing that or reporting that. But the fact that you can sort of just by not saying no on that form, you can sort of go by ears can go by and you can keep making these affiliate investments without anyone checking.

in of itself shows that the regime is not doing a good job of policing the affiliate transactions. And these are not sort of complicated or hard to see. I mean, Mark Walter owns the insurance company, owns the Lakers, and he's making loans to like LeBron. So like these are not some super opaque AVS securities where the ownership is hard to track. So the first thing to think about is just the existing regime. is not inspiring confidence if it cannot police affiliate transactions of this kind. Now they've made strides to make the reporting better but and this happened I think before that but still the idea is that at bottom the regulator is not doing enough to to identify these transactions. The paper is private credit state backstop how private equity socializes risk through insurers we will link to that as well as your profiles on on LinkedIn X and other reporting on this Guys, thanks so much. Thank you everyone for watching. Please leave a rating and review for monetary matters on our YouTube channel and also on Apple Podcasts and Spotify. Thank you. Thank you so much, Jack. Thanks for having us.